

Measure rule. Use the measure rule to help gauge how far price will decline after the breakout. Take the difference between the highest high in the pattern (the higher of the two peaks) and the valley low (between the two peaks). Subtract the height from the confirmation price to get the target.

For example, the double top shown in [Figure 33.5](#) has the highest high on the left peak at 32.45. The lowest low is at the breakout, 28, for a height of 4.45. Subtract the result from the lowest low to find the target of 23.55. Price fails to reach the target as the stock drops to B.